Deepak Nitrite Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: DEEPAKNTR · Report prepared 6 Nov 2026

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1 Snapshot

Deepak Nitrite makes industrial chemicals in two businesses. **Phenolics** (in the subsidiary Deepak Phenolics) makes phenol and acetone, basic chemicals that go into laminates, plywood glue, paints, plastics and medicines, plus the solvents IPA, MIBK and MIBC. **Advanced Intermediates** (the listed parent) makes specialty building-block chemicals for agrochemical, dye, pigment, pharma and personal-care customers. Most sales are inside India. A third business, polycarbonate plastic, is being built from scratch in another subsidiary, Deepak Chem Tech.

Item	Number	What it means in plain words
Market value	₹20,909 cr	What the stock market prices the whole company at. Share price ₹1,534, down from ₹1,750 at our last report even though profits went up again.
Group sales, Q2 FY27	₹3,091 cr	A record quarter. Up 61% on a year ago and 19% on the June quarter.
Group EBITDA, Q2 FY27	₹643 cr (21%)	EBITDA is cash operating profit before interest, tax and wear-and-tear. 21 paise per rupee of sales, same as Q1, against about 11 paise a year ago.
Group net profit, H1 FY27	₹743 cr	Six months' profit for shareholders. All of FY26 was ₹551 cr, so the first half alone beat last year.
P/E (Screener, parent only)	79.6	Looks expensive, but Screener divides the whole company's value by the parent's profit only. On the group's last-twelve-months profit of roughly ₹1,060 cr it's about 20 times.
Net debt	₹1,657 cr (0.25× equity)	Borrowing minus cash, against net worth of ₹6,521 cr. Comfortable. It will climb as the polycarbonate plant gets built; the banks are already lined up.
Parent ROCE	7.36%	Return on money tied up in the specialty business. Still poor. This is the part of the company that has to improve.

Reading the Screener numbers: the parent's September quarter shows net profit of ₹144 cr on operating profit of only ₹80 cr. The gap is ₹109 cr of "other income", which is the yearly dividend Deepak Phenolics pays up to the parent every September. Same thing happened in Sep 2023, 2024 and 2025. Ignore it and use the group numbers.

2 Concall coverage

Quarter	Call date	Transcript read?
Q3 FY24 → Q4 FY26 (10 calls), plus FY21-FY23 scanned	Feb 2024 - May 2026	Carried forward from the Q1-2027 report
Q1 FY27 (prior boundary)	6 Aug 2026	Read in full for the Q1-2027 report; backstory here
Q2 & H1 FY27	**30 Oct 2026**	**Newly deep-read in full ★**

Only the 30 October call was read in full this quarter. Everything older comes from our Q1-2027 report, which read 23 transcripts back to 2021.

Latest concall highlights: Q2 FY27 (call 30 Oct 2026)

- **Another record, and phenol did nearly all of it.** Phenolics sales ₹2,291 cr, EBIT (operating profit after wear-and-tear) ₹515 cr at a 22% margin. Half-year Phenolics EBIT of ₹933 cr already beats the best full year ever (₹867 cr in FY22).
- **The specialty side went backwards.** Advanced Intermediates sales ₹811 cr but EBIT just ₹49 cr (6% margin), down from ₹67 cr in Q1. Reason given: customers panic-imported sodium nitrite and nitroaromatics in Q1 when Deepak couldn't supply enough, and those cargoes landed in July.
- **First hard number for the specialty business.** Asked directly, Maulik Mehta guided Advanced Intermediates EBIT of about ₹240 cr for FY27 and ₹400-420 cr for FY28, at a 14-15% margin, with much of the new business on formula-linked contracts. That's the clearest guide this management has given in years.
- **Plants finally arriving.** MIBK/MIBC commissioned and running at about 60%, with a European REACH registration (licence to sell into the EU) received after the quarter. Acetophenone is being sold. Chlorination at Dahej commissioned at the end of the quarter. Nitric acid running above 100% since September.
- **Polycarbonate moved again.** The investor deck now shows the integrated propylene-to-polycarbonate chain in FY30. Management says the resin plant itself is still FY29, running on bought-in BPA until the upstream catches up. Project cost nudged up to ₹11,700 cr.

Business mix & capacity

Segment split, Q2 FY27: Phenolics ₹2,291 cr sales / ₹515 cr EBIT; Advanced Intermediates ₹811 cr / ₹49 cr. Plain read: phenol now earns about nine rupees in every ten of segment profit, even more lopsided than Q1.
Domestic vs export: not restated on this call. Last disclosed at about 85:15 domestic in Q1 FY27; Phenolics is almost entirely domestic. MIBK/MIBC exports to Europe are the new export lever.
Capacity use: phenol "close enough to the 4 lakh tonnes" a year of capability, but Q2 ran a bit below that because propylene was hard to get; volumes were "roughly about the same" as a year ago. IPA at about 100%. MIBK/MIBC about 60%. Upstream nitric acid above 100% from September. Plain read: Q2 growth came from price and spread, not from selling more phenol.

Since our last report

Builds on the Q1-2027 report (call 6 Aug 2026). Prior verdicts: **Trigger YES** (a cycle first, a machine second) and **Consistency NO** on dates (yes on money and machines).

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Phenol spread drove 86% of profit; test is whether the 24% margin holds with import duty back.	It held at 22% with duty reinstated, on record sales. But volumes were flat on last year, so this is still spread, not growth.	Confirmed
Consistency: NO	Plants land one to two years after the date given.	The small plants landed inside the latest promised window this time. Polycarbonate chain slipped again to FY30.	Improving
MIBK, MIBC, acetophenone	"In August itself"; nothing earning yet.	Commissioned, MIBK/MIBC at about 60%, acetophenone selling, REACH done.	Confirmed
Multipurpose agrochem plants	Slipped again, promised "within Q2".	Chlorination plant commissioned end of Q2; customer trial volumes going out.	On-track
Advanced Intermediates margin	8% against the 17-18% "normal"; ₹67 cr EBIT a quarter.	Fell to 6%. Q3 guided between Q1 and Q2. FY28 guided 14-15%.	Slipping (near term)
Polycarbonate timing	H2 FY29, cost ₹11,500 cr.	Resin FY29 on bought-in BPA; integrated chain FY30; cost ₹11,700 cr.	Slipping

Verdict change: trigger unchanged at YES. Consistency upgraded from NO to MAYBE, because for once the near-term plants arrived roughly when last promised. The flagship's date still moves.

3 Earning-trigger thesis

Is there a real earning trigger here?

Yes, and it's showing up in the accounts two quarters running. But it's two different triggers stacked on top of each other. The big one is phenol and acetone: Indian demand is strong, imports are slow and costly, the import duty is back, and Deepak is the big local supplier. That earned ₹515 cr of EBIT in one quarter. Management now rejects the "super cycle" label and calls it control over customers and costs. We'd still call it a good cycle, since volumes didn't grow and a new local phenol plant is coming. The second trigger is the specialty side finally getting its new plants working. That one has a hard guide now (₹400-420 cr EBIT in FY28) but went backwards this quarter.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Phenol / acetone spread	"Right now, there is no super cycle... What you are seeing is the result of a buoyant domestic demand" plus import disruption.	Phenolics EBIT ₹515 cr, 22% margin; H1 beats any full year. Paid "close to double the index" for propylene to keep plants full.	Now; a new domestic phenol rival is the watch item	Strong but cyclical	Unchanged: held with duty back
Phenol debottlenecking	"Close enough to the 4 lakh tonnes plus or minus."	Capability is there; Q2 ran below it on propylene shortage. Volumes flat on last year.	FY27-FY28	Moderate	↓ feedstock, not capacity, is the limit

Advanced Intermediates new plants (nitric acid, nitration, hydrogenation, fluorination, chlorination)	About ₹240 cr EBIT in FY27; "₹400 crore, ₹420 crore" in FY28 at 14-15% EBIT, formula-linked contracts.	All now commissioned; nitric acid above 100%. But Q2 EBIT fell to ₹49 cr. H1 is ₹116 cr, so H2 must roughly match it to hit ₹240 cr.	FY28	Moderate	↑ firm guide given; numbers not yet there
MIBK, MIBC, acetophenone	"We're at about 60%... confident about being able to reach 100%"; REACH registration for Europe.	Commissioned and selling. Captive acetone use now 60-65% of output.	Q3 FY27 onwards	Moderate	↑ from zero to running
Polycarbonate (₹11,700 cr)	Resin "in line with our FY29 number"; integrated chain with feedstock in FY30; "fully optimized" by FY31.	Equity almost all in (about ₹50 cr left); banks fund from here. Capex ₹800-900 cr in H2, ₹2,200-2,400 cr in FY28.	FY29-FY31	Weak on timing	↓ chain moved to FY30

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2023 → Aug 2026	MIBK/MIBC in Q1 FY25, restated eight times, last "in August itself".	Commissioned, running at about 60% in Q2 FY27. About 28 months late overall, but the last date held.	Delivered (late)
Nov 2024	Nitric acid in H2 FY25.	Commissioned Dec 2025, ran at 45% in Q4 FY26, above 100% from Sep 2026.	Delivered (late)
Nov 2025 / Aug 2026	Multipurpose plants "between March and May 2026", then "within Q2".	Chlorination and specialty plants commissioned at end of Q2 FY27.	Delivered (late)
May 2026	A stronger margin profile in FY27 than FY26.	Group EBITDA margin 21% in both Q1 and Q2 against 11% a year ago.	Delivered
May 2026	Funding for the polycarbonate project tied up.	Equity "more or less done"; bank debt kicks in now.	Delivered
Nov 2025 → Aug 2026	Polycarbonate "before March 2028", then H2 FY29.	Integrated chain now FY30; resin plant kept at FY29 using bought-in BPA. Cost ₹9,000 cr → ₹11,500 cr → ₹11,700 cr.	Missed
Feb 2025	Specialty margins back to "17%, 18%".	6% EBIT margin in Q2 FY27. New target 14-15% for FY28.	Missed so far

Narrative drift. Two things to note. First, the China story keeps flipping. In August management said China had no oversupply and there was "a short supply today". This quarter's investor deck went back to "surplus capacities in China" pressuring markets, and on the call Mehta said China doesn't take part in Indian phenol at all but does fill gaps in specialty chemicals when Deepak can't supply. Not contradictory if you squint, but the framing moves with whatever the quarter needs. Second, the polycarbonate date was quietly reframed: when an analyst spotted FY30 in the deck, the answer split the project into a resin plant (still FY29) and an integrated chain (FY30). That's a reasonable engineering point, but it's also how a slip gets presented as no slip. On the plus side, management gave a hard EBIT number for the specialty business, which they've refused to do for years. That's a number they can now be held to.

5 Bottom line

DURABLE EARNING TRIGGER? → YES vs last quarter: unchanged

Nothing knocked it down. Last time we said the test was whether the phenol margin would hold once import duty came back. It did, at 22%, on record sales, and the half-year Phenolics profit already beats any full year in the company's history. The catch is the same as before, only sharper: phenol volumes were flat on last year, so this is spread, and Deepak paid close to double the normal price for propylene to keep running. A new local phenol plant is coming. The second leg, the specialty plants, is now all built and has a hard FY28 guide, but it went the wrong way

this quarter. Real trigger today, durable only if the specialty side delivers its FY28 number before the phenol spread fades.

MANAGEMENT CONSISTENT? → MAYBE vs last quarter: upgraded from NO

What moved it: the plants they said would come in August and "within Q2" actually came. MIBK/MIBC are running, acetophenone is selling, chlorination is commissioned, nitric acid is running full. The margin promise from May held two quarters running and the money for polycarbonate is in place. Against that, the flagship slipped again to FY30 and the cost crept up, and the explanation was a reframe rather than an admission. The China story also changes with the quarter. Our working rule stays the same: trust the engineering and the balance sheet, add a year to every big date, and now check the ₹240 cr FY27 specialty EBIT guide against the March quarter.